Viavi Solutions (VIAV)
Durable Growth Meets a Demanding Discount Rate

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Market consensus projects roughly 16% revenue CAGR on the telecom recovery, the AI capex cycle, and defense spending. At a live CAPM discount rate near **9.7%**, our DCF puts the base case at **$40.13** and the blended value at **$37.85**, about 3% below the current price. We rate VIAV **Hold**: limited upside to the base case, but dual-cycle durability and a $52.64 bull case keep the risk/reward balanced.

Hold	$37.85	$39.05	$52.64
RATING	BLENDED TARGET (25/50/25)	CURRENT PRICE	BULL-CASE TARGET

$1.52B	~16%	20.6%	$83M	~$100M	246.75M
FY2026 REVENUE, +40% YOY	CONSENSUS 3-YR REVENUE CAGR	NON-GAAP OP MARGIN FY2026	FY2026 FREE CASH FLOW	NET DEBT	SHARES OUTSTANDING

Investment thesis

VIAV is a good business with two simultaneous tailwinds. Network and Service Enablement rides the 800G to 1.6T data-center upgrade wave, with the core data-center business excluding Spirent more than doubling year over year, while aerospace and defense, about 17% of NSE revenue plus the OSP defense and anti-counterfeiting base, rides a defense supercycle. Qualification-led selling and sticky test workflows give the franchise a genuine moat, and the Spirent high-speed Ethernet acquisition consolidates VIAV against Keysight in Ethernet test.

The growth story is intact, but the discount rate has moved against it. With the 10-year near 5.25% and a 1.27 beta, live CAPM gives a discount rate of about 9.7%, and at that rate the bull case, 20% annual revenue growth with 28% free cash flow margins, is worth $52.64, about 35% above the $39.05 market price. The market is no longer pricing perfection: the shares now sit about 3% above our blended target and just below the $40.13 base case. We are Hold rather than Sell because two independent growth engines, the AI capex cycle and the defense supercycle, make the top-line path more achievable than a single-cycle comp, and pressing a short into both supercycles at a fair price is poor risk/reward.

> **The margin assumption does the heavy lifting.** FY2026 free cash flow was about $83M, a 5.5% margin. The base case applies a 25% FCF margin from FY2027 onward, an immediate step-change that assumes R&D intensity fades and software mix rises on schedule. If that normalization slips, the $40 base case is at risk.

Bear: $18.51
Telecom recovery stalls and the cycles digest. Revenue grows 8% annually, FCF margins reach 18%, terminal growth 2.0%. Roughly the historical floor.

Base: $40.13
Consensus path. Revenue grows 16% annually on dual-cycle demand, FCF margins normalize to 25%, terminal growth 3.0%.

Bull: $52.64
Supercycle extends. Revenue grows 20% annually, FCF margins reach 28%, terminal growth 3.0%. About 35% above the market price.

Valuation: three-scenario DCF

We value VIAV on a five-year discounted cash flow from the FY2026 base of $1.52B, applying each scenario's target free cash flow margin across FY2027-31 with a Gordon-growth terminal value. The discount rate is a dynamic live CAPM, about 9.7%, applied across all three scenarios. Net debt of roughly $100M and 246.75M shares outstanding bridge enterprise value to the per-share targets.

ASSUMPTION	BEAR	BASE	BULL
Revenue CAGR, FY2027-31	8.0%	16.0%	20.0%
Target FCF margin	18.0%	25.0%	28.0%
Terminal growth rate	2.0%	3.0%	3.0%
Discount rate (live CAPM)	~9.7%	~9.7%	~9.7%
FY2031 revenue	$2.23B	$3.19B	$3.78B
Year 5 free cash flow	$402M	$798M	$1.06B
Enterprise value	$3.69B	$7.61B	$9.92B
Implied share price	**$18.51**	**$40.13**	**$52.64**

What the price implies

At $39.05, the stock sits about 3% above our $37.85 blended target (25/50/25) and just under our $40.13 base case: essentially fairly valued on the base case. The market is no longer demanding perfection. The price sits well clear of the $18.51 bear case while leaving roughly 35% of headroom to the $52.64 bull case if the 800G to 1.6T supercycle extends and the 25% FCF margin lands on schedule.

We stay Hold rather than Sell because the two-cycle setup is genuinely unusual. The AI capex cycle and the defense supercycle are independent growth engines, and either one alone could carry the top line if the other pauses. That durability, plus scarcity value as a pure-play optical and network test asset and takeout optionality, argues against pressing a short here at a fair price. The near-term call is simple: limited upside to the base case, but the bull case offers about 35% upside if the supercycle extends.

Revenue, FY2026	**$1.52B (+40% YoY)**
Q4 FY2026 revenue	**$443.1M (+52.5% YoY)**
Q1 FY2027 guide	**~$455M revenue**
Non-GAAP EPS guide	**~$0.41**
Spirent HSE contribution	**$145M FY2026**
Inertial Labs contribution	**$86M FY2026**
Q4 share offering	**12.8M shares at $45**
Use of proceeds	**Term Loan B repaid**

Method. Five-year DCF off FY2026 actuals; target FCF margin applied across FY2027-31; Gordon terminal on FY2031 FCF. Discount rate is dynamic live CAPM: 5.25% 10-year + 1.27 beta x 3.49% ERP = ~9.7%, applied across scenarios, same convention as our Axon model. Share count 246.75M; net debt ~$100M. Note the model assumes the FCF margin step-change arrives in FY2027 rather than ramping; a two-year delay to the 25% margin would cut roughly $4-5 from the base case. Not investment advice and for entertainment purposes only.

What would make us more constructive

1.6T and co-packaged optics run longer. If the optical upgrade cycle extends past FY2028 without digestion, the bull-case 20% revenue path proves conservative and the $52.64 bull case moves up.

Software mix shift. A faster move to AIOps and recurring assurance licenses would expand gross margins toward the mid-60s and structurally raise the FCF ceiling.

Margin normalization arrives early. Faster R&D leverage or Spirent synergies would validate the 25% FCF margin and de-risk the base case.

Takeout. Test-and-measurement consolidation logic is proven. A strategic buyer could pay well above our DCF, though that is a call option, not a valuation.

Risks

Higher for longer. The 10-year touched 5.34% intraday this month. Every further 50bp of sustained rate rise cuts roughly $2-3 from the base case through the discount rate alone.

Customer concentration. Roughly half of NSE revenue now touches the data-center ecosystem, leaving VIAV exposed to hyperscaler capex decisions.

Keysight. The 800-pound gorilla competes with massive scale and 20%+ FCF margins today. VIAV's niche focus is a defense, not a guarantee.

Cyclical digestion. Telecom and data-center capex has a long history of pause years. A single digestion year breaks the 16% compounding the price requires.

Margin execution. The model grants a near-immediate jump from 5.5% to 25% FCF margins. Any slippage in R&D leverage or Spirent integration hits the base case directly.

KPIs we are watching

- **Book-to-bill ratio** in NSE. Above 1.0 confirms the backlog is still building; below 1.0 is the first sign the cycle is digesting.
- **Contracted backlog** in aerospace and defense and multi-year assurance subscriptions, the ballast against telecom cyclicality.
- **Software and service revenue mix.** The leading indicator for whether gross margins can genuinely march toward the mid-60s.
- **Free cash flow conversion.** FY2026 printed 5.5%; the path to 25% needs to show up in operating cash flow, not just non-GAAP EPS.

Justin Wen

Earnings momentum: four quarters of acceleration

VIAV's last four prints tell one consistent story: accelerating revenue, compounding operating leverage, and a GAAP ledger weighed down by the cost of transformation. Each quarter has grown faster than the last and expanded margins further. The one friction point is the share count, which jumped 15% to 261M diluted shares on convertible note conversions in Q4.

QUARTER	REVENUE	YOY GROWTH	NON-GAAP OP MARGIN	NON-GAAP EPS
Q1 FY2026	$299.1M	+25.6%	15.7% (+570bps)	$0.15
Q2 FY2026	$369.3M	+36.4%	19.3% (+440bps)	$0.22
Q3 FY2026	$406.8M	+42.8%	21.0% (+430bps)	$0.27
Q4 FY2026	$443.1M	+52.5%	24.0% (+960bps)	$0.34

Q1 FY2026: the organic setup

Revenue of $299.1M grew 25.6% and beat the high end of guidance on data-center demand. Non-GAAP operating margin expanded 570bps to 15.7% and non-GAAP EPS of $0.15 rose 150% and beat guidance. The GAAP line told the other story: a $21.4M net loss. The pending Spirent acquisition was framed as a step-change in data-center scale, and the rest of the year proved that framing right.

Q2 FY2026: the Spirent transformation

Revenue surged 36.4% to $369.3M as the Spirent deal closed and began transforming the growth profile. Non-GAAP operating margin hit 19.3%, up 440bps, and non-GAAP EPS of $0.22 beat the $0.20 guide high end. The cost of transformation was plain to see: a $48.1M GAAP loss on debt extinguishment, long-term debt at $1.22B, and a 5% workforce cut announced as integration took hold.

Q3 FY2026: momentum with cash friction

Revenue jumped 42.8% to $406.8M on data-center demand and Spirent integration, with non-GAAP operating margin at 21.0%, up 430bps. But GAAP net income fell 67% to $6.4M on restructuring and amortization, and operating cash flow reversed to negative $26.3M on M&A earn-out payments. The operating machine was firing; the cash cycle was digesting the deal.

Q4 FY2026: the blowout

Revenue of $443.1M, up 52.5%, closed the year as the NSE segment grew 69.2% on AI data-center demand. Non-GAAP operating margin expanded 960bps to 24.0% and non-GAAP EPS soared 161.5% to $0.34: the margin compounding the flow-through thesis needed. Q1 FY2027 guidance of about $455M revenue and $0.41 EPS implies growth above 52% and roughly 173% EPS growth against Q1 FY2026. The asterisk: diluted shares jumped 15% to 261M on convertible note conversions, muting the per-share power of the leverage.

> **The arc in one line.** Revenue growth accelerated every quarter, 25.6% to 36.4% to 42.8% to 52.5%, while non-GAAP operating margin climbed from 15.7% to 24.0%. Q1 was organic data-center demand, Q2 and Q3 were the Spirent transformation, and Q4 was full AI-test operating leverage. The recurring tension across all four prints is the same: non-GAAP momentum against GAAP noise and a rising share count.

Justin Wan

Bull vs bear: what the recent prints support

What supports the bull case

- **NSE hypergrowth:** up 69.2% in Q4 on AI data-center demand, with the core data-center business more than doubling year over year.
- **Steep flow-through:** incremental revenue converting to operating income near 40 to 45%, lifting non-GAAP operating margin from 14.4% to 24.0% in one year.
- **Margins expanded every quarter:** 15.7% to 19.3% to 21.0% to 24.0%, a steady quarterly compounding story.
- **Spirent assets proving accretive:** the high-speed Ethernet acquisition consolidates VIAV against Keysight in Ethernet test.
- **Q1 FY2027 guide:** about $455M revenue and $0.41 EPS implies growth above 52% and roughly 173% EPS growth year over year.

What supports the bear case

- **15% share dilution:** diluted shares rose to 261M on convertible note conversions, muting the per-share power of the earnings leverage.
- **GAAP unprofitability persists:** net losses of $21.4M and $48.1M in Q1 and Q2 on restructuring, amortization, and debt extinguishment; Q3 net income was just $6.4M, down 67%.
- **$1.22B of long-term debt** with materially higher interest expense dragging on earnings.
- **Negative operating cash flow quarters:** minus $26.3M in Q3 on M&A earn-out payments; FY2026 free cash flow was only $83M, a 5.5% margin.
- **Legacy wireless and telecom remain structurally weak,** capping growth of the non-AI base.

Key themes with trend status

THEME	TREND STATUS
AI data-center test demand	Accelerating
Co-packaged optics TAM	Accelerating
Operating leverage	Accelerating
GAAP vs non-GAAP divergence	Decelerating concern
Wireless weakness	Stable

What to watch

- **Q1 FY2027 print** against the $455M revenue and $0.41 EPS guide.
- **Spirent revenue run-rate disclosure:** how much of NSE growth is integration versus organic demand.
- **Deleveraging progress** against the $1.22B long-term debt load.
- **The path back to GAAP profitability** as restructuring and amortization charges roll off.
- **800G to 1.6T cycle durability into FY2027:** orders, backlog, and hyperscaler capex tone.
- **Book-to-bill in NSE:** the earliest sign the data-center cycle is digesting.

Hold: durability against the math

Our live-rate DCF values VIAV at $37.85 blended, about 3% below the $39.05 market price, with the $52.64 bull case roughly 35% above it. We stay Hold rather than Sell because dual-cycle top-line durability, scarcity value, and takeout optionality argue against pressing a short into two supercycles at a fair price. Flip to Sell if rates push durably higher or the margin ramp slips; upgrade to Buy if the stock pulls back toward the bear case or the bull-case path firms up.

$37.85
BLENDED TARGET

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